

Before the
FEDERAL MARITIME COMMISSION
Washington, D.C. 20573
Docket No. 23-02
BED BATH & BEYOND INC. v.
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

RESPONDENTS' APPEAL OF ERRONEOUS RULINGS
IN THE PRESIDING OFFICER'S ORDER DATED SEPTEMBER 28, 2023

Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (“Respondents” or “OOCL”), by and through their undersigned counsel, respectfully submit this Appeal of the erroneous and advisory rulings included in the Presiding Officer’s Order of September 28, 2023 (the “Order”), in the above-styled case.

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PRELIMINARY STATEMENT AND SUMMARY

On June 20, 2023, Complainant Bed Bath & Beyond Inc. (“Complainant” or “BBBY”) filed a motion to dismiss three of Respondents’ affirmative defenses (“Motion to Dismiss”).¹ Respondents responded thereto, and Complainant replied, on July 19, 2023, and August 2, 2023, respectively.

On September 28, 2023, the Presiding Officer issued the Order, which denied the Motion to Dismiss, holding that Respondent’s allegations were sufficient to state defenses under the relaxed “plausibility” standard enunciated in *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007). Having thus denied the Motion to Dismiss, there was no need or reason for the Presiding Officer to go further. Had the Order ended there, as it should have, this Appeal would not be necessary.

However, for reasons not explained in the Order, the Presiding Officer pressed ahead, issuing advisory opinions in *dicta* on issues central to the case that: (a) were not before the Presiding Officer for decision, once it was decided that the affirmative defenses were protected by *Twombly*; and (b) had not been fully briefed by the Parties. Even worse, the flawed conclusions in the Order were based on cases not discussed by either Party (for good reason) that clearly do not stand for the conclusions for which they are cited.

These advisory opinions prematurely and inappropriately disposed of the core legal issues in this case, creating new law and asserting unprecedented regulatory powers for the FMC in the process – including, most extraordinarily, reasonableness-based ratemaking authority. In so doing, the Presiding Officer appears to have anticipatorily dismissed the substance of Respondents’

¹ Although Complainant styled its motion as one for “partial decision on the pleadings,” it acknowledged that it was, in effect, a motion to dismiss. Motion to Dismiss at 3-5. For sake of clarity, therefore, we refer to Complainant’s motion as a motion to dismiss.

defenses (which arise from the carefully-crafted limits on FMC authority set out in the Shipping Act), even as she declined to formally strike those defenses from Respondents' answer.

In particular, the Presiding Officer concluded:

- That 46 U.S.C. 40102(c), regarding unreasonable practices “connected with receiving, handling, storing, or delivering property,” applies to ocean common carrier rates established by service contract, despite nearly a century of law to the contrary, and despite Chairman Maffei recently testifying to the direct opposite to Congress. In so doing, the Presiding Officer set aside decades of precedent limiting section 40102(c) to port, terminal and forwarding-related functions, transforming that section into a newfound statutory superpower to impose reasonableness requirements on virtually any aspect of carrier rates, contracts, and operations.
- That 46 U.S.C. § 40502(f), which Congress added during the original Shipping Act of 1984 and deliberately reaffirmed in the Ocean Shipping Reform Act of 1998, and which provides the courts with exclusive jurisdiction over breach of service contract claims, may be avoided simply through artful pleading, e.g., by replacing the term “breach of service contract” with the term “violation of 46 U.S.C. § 41104(a)(2).” In so stating, the Presiding Officer declined to address critical precedent creating a strong presumption against FMC jurisdiction over such claims, even though it was quoted and discussed in Respondent's brief.

We show below that, even apart from their procedural impropriety, the Presiding Officers' advisory rulings in *dicta* are unequivocally wrong as a matter of law and should be set aside.

PROCEDURAL HISTORY

I. The FMC Action

A. The Complaint

On April 21, 2023, Complainant filed a Verified Complaint (“Complaint”) with the Federal Maritime Commission (the “FMC” or “Commission”) pursuant to 46 U.S.C. § 41301 seeking at least \$31.7 million in damages for alleged injuries to Complainant caused by Respondents' alleged violations of the Shipping Act of 1984, as amended, 46 U.S.C. §§ 40101 et seq. (the “Shipping Act”).

In the Complaint, Complainant alleges Respondents violated the Shipping Act by: (i) failing to meet the minimum quantity commitments (“MQCs”) under the 2020² and 2021³ service contracts between the parties (the “Service Contracts”) (*see* Complaint at ¶ 5); (ii) assessing demurrage and detention charges for delays outside of Complainant’s control, including congestion at ports, policies implemented by Respondents and other ocean carriers that interfered with the ordinary handling of ocean freight, bad weather delays, labor disputes, and quarantine/social distancing orders in terminals, depots, yards, and for vessel crew (*see* Complaint at ¶ 7); and (3) inducing Complainant to enter into premium-rate contracts. (*See* Complaint at ¶ 8).

B. The Answer with Affirmative Defenses

On May 22, 2023, Respondents filed their Answer to the Complaint refuting the allegations (the “Answer”). The Complainant took exception to three of those affirmative defenses and filed a motion to strike same.

In the First Affirmative Defense, Respondents supplied a fulsome explanation why the Complaint fails to state a claim for which relief can be granted, including the following points, among others:

- Respondents’ service commitments required the tender and carriage of a certain quantity of TEUs by the end of each contract’s term.
- There were no monthly or quarterly carriage requirements, or guaranteed space per sailing in the contract.
- Complainant is asking the Commission to invent contract requirements that were not bargained for or agreed to between the parties.

² The 2020 Service Contract between Complainant and Respondents was effective as of July 1, 2020, and covered the period from July 1, 2020, through June 30, 2021. It was amended on seventeen occasions.

³ The 2021 Service Contract between Complainant and Respondents was effective as of May 1, 2021, and covered the period from May 1, 2021, through April 30, 2022. It was amended on sixteen occasions.

- Respondents performed all the commitments as required by the service contracts, which were amended by mutual agreement before their expiration, and duly filed with the Commission.
- Contrary to Complainant’s argument that Respondents created artificial scarcity during the pandemic, during that period carriers faced:
 - unprecedented challenges arising from spiking demand,
 - record growth in U.S. imports,
 - global intermodal supply chain delays and congestion,
 - and shoreside COVID restrictions.

These factors caused:

- severe and protracted trans-Pacific vessel delays,
- which removed a significant proportion of functional capacity from the market,
- disrupted vessel schedules,
- and stretched to the limit every part of the inland intermodal supply chain.

Respondents took no action to drive up freight rates, nor did they create artificial scarcity. Rather, Respondents invested in providing new capacity and service options, and worked cooperatively with Complainant and other shippers to provide the highest levels of service quality under extraordinary circumstances.

In their Second Affirmative Defense, Respondents denied that the FMC possesses subject matter jurisdiction, because Complainant’s claim that Respondents violated 46 U.S.C. § 41104(a)(2) (failure to adhere to tariff/service contract requirements) is nothing more than an alleged breach of contract claim, which the Shipping Act says may not be heard by the FMC. Instead, 46 U.S.C. § 40502(f) provides that the exclusive remedy for an alleged breach of a service contract (including any cause of action premised on the obligation to meet one's service contract commitments) is “an action in an appropriate court,” not the Commission.

In their Third Affirmative Defense, Respondents asserted that the Commission lacks authority to regulate the reasonableness of cargo-space accommodations, or any refusal thereof,

for the period covered by the Complaint. Respondents explained the historical basis for this defense:

- While the Shipping Act, 1916 authorized the Commission to broadly regulate the reasonableness of cargo space accommodations, the Shipping Act of 1984 removed that authority regarding service contracts.
- In the Ocean Shipping Reform Act of 1998, Congress continued this deregulatory narrowing of FMC authority, clarifying that the Shipping Act bars unfair or unjustly discriminatory practices in the matter of cargo space accommodations (or other unfair or unjustly discriminatory methods) only when undertaken in connection with service per a tariff.
- Congress purposefully ended the Commission’s power to regulate the reasonableness of cargo space accommodations for service pursuant to a service contract, in favor of a deregulatory market-based approach.
- Congress only restored FMC authority to regulate space accommodations under service contracts in the Ocean Shipping Reform Act of 2022, enacted after the conduct at issue in the Complaint.
- The Commission cannot repurpose other provisions of the Shipping Act in novel and unintended ways, to reclaim regulatory powers that Congress specifically removed.

On September 28, 2023, the Presiding Officer issued the Order, which denied Complainant’s Motion to Dismiss (and also granted Respondents’ motion for a protective order relating to the scope of discovery, which is not at issue here). As identified above, however, the Order also included, in *dicta*, several advisory opinions.

With respect to Respondents’ defense that 46 U.S.C. § 41102(c) does not apply, and never has applied, to the transportation function of ocean common carriers, including the rates and space allocations under service contracts, the Order states:

- “Thus, although there may have originally been some question about whether section 41102(c) extended to rates, that question has been resolved by the D.C. Circuit, relying on Supreme Court precedent. Therefore,

shipping rates may be considered part of receiving, handling, storing, or delivering property.”⁴

- In reviewing the pre-2022 OSRA section 41104 applicable here, it is clear that both service contracts and cargo space accommodations are regulated, as they are explicitly mentioned.⁵
- “Therefore, the Commission has authority to regulate the reasonableness of cargo space accommodations in service contracts, or any refusal thereof, for the time period covered by the complaint.”⁶
- “The complaint alleges plausible Shipping Act claims and the caselaw does not support OOCL’s argument that the Commission lacks jurisdiction to decide cargo space accommodation claims or that these claims do not constitute receiving, handling, storing, or delivering of property.”⁷

With respect to Respondents’ defense that 46 U.S.C. § 40502(f) expressly denies the Commission jurisdiction over service contract claims brought under 46 U.S.C. § 41404(a)(2), the Order quotes from *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 2000 WL 1648961, at *14 (FMC 2000) and states: “If, after discovery, the facts show that this is no more than a breach of contract claim, Respondents may assert this defense.” Order at 8. In this respect, the Presiding Officer entirely ignored: (i) the critical portion of *Cargo One* holding that claims under 46 U.S.C. § 41104(a)(2) are inherently and presumptively breach of contract claims, except perhaps in extraordinary circumstances, (ii) that under *Cargo One* it is **Complainant’s burden** to prove the extraordinary circumstances necessary to avoid application of 46 U.S. § 40502(f), **not** Respondents’ obligation to disprove them, and (iii) that the precedent shows that the application of § 40502(f) should be decided at the outset, not after burdensome and extended discovery.

⁴ See Ex. (1) hereto, Order of Sep. 28, 2023, p. 12.

⁵ *Id.*, p. 14.

⁶ *Id.*, p. 14.

⁷ *Id.*, p. 17.

RELEVANT FACTUAL BACKGROUND

Although the rulings appealed are questions of law, not disputed facts, a brief recitation of the factual background may aid in providing context to the matters appealed.

I. The 2020 and 2021 Service Contracts

Complainant and Respondents entered the Service Contracts within the meaning of 46 U.S.C. § 40102(21) for the 2020 and 2021 shipping years in which the parties agreed that Complainant would ship, and Respondents would carry, a certain MQC of twenty-foot equivalent units (“TEU”) by the end of each Service Contract’s term.

II. The Unprecedented Pandemic Disruptions

As documented by the Commission itself, during the pandemic carriers faced unprecedented challenges arising from spiking demand, record growth in U.S. imports, global intermodal supply chain delays and congestion, and shoreside COVID restrictions. These factors caused severe and protracted trans-Pacific vessel delays, which removed a significant proportion of functional capacity from the market, disrupted vessel schedules, and stretched to the limit every part of the inland intermodal supply chain. Respondents took no action to drive up freight rates, nor did they create artificial scarcity. Rather, Respondents invested in providing new capacity and service options, and worked cooperatively with Complainant and other shippers to provide the highest levels of service quality under extraordinary circumstances. (*See Answer’s First Affirmative Defense*).

III. The Alleged Breach

In the Complaint, Complainant alleges Respondents violated various provisions of the Shipping Act by failing to meet service commitments in its contracts. (*See Complaint at ¶ 5*). Not so. As demand for trade surged during the pandemic, Respondents supplied as much container-

carrying capacity as they could to meet the extraordinary demand for consumer goods and other trans-Pacific trade created by the pandemic, and to alleviate the shortage of capacity caused by widespread port closures in foreign origins and delays in berthing, loading and unloading vessels. Indeed, Respondents performed all the commitments as required by the Service Contracts, which were amended by mutual agreement before their expiration, and duly filed with the Commission.

While Respondents worked hard to meet customers' demands, Complainant on the other hand repeatedly and without explanation failed to manage its own supply chain, exacerbating the bottlenecks faced by other shippers and the ability of Respondents to reposition its containers to Asia to serve its customers' unprecedented demand for service.

STANDARD OF REVIEW

The Commission reviews both initial decisions and dismissal orders issued by its Administrative Law Judges *de novo*. See, e.g., *In re Vehicle Carrier Services*, Nos. 16-01, 16-07, 16-10 and 16-11, 2018 WL 4091566, at *2 n.3 (FMC Aug. 21, 2018) (Commission reviews initial decisions *de novo*); *Maher Terminals, LLC v. PANYNJ*, No. 12-02, WL 9426189 at * (FMC Dec. 18, 2015) (appeals from dismissal orders are reviewed by the Commission *de novo*).

ARGUMENT

As we now show, both the decision to render advisory opinions and the erroneous advisory opinions themselves constitute reversible error.

1. The Advisory Opinions are Inappropriate

Although the FMC is not an Article III Court, and thus it is not constitutionally prohibited from issuing advisory opinions, the same cautions that attend judicial decisions pertain here.

Unnecessarily deciding central aspects of Respondents' defenses runs both a great risk of error – as indeed happened here – and potential prejudice to Respondents – as also happened here.

Decisions on key legal issues should not normally be made as asides to dismissal orders. As evident here, it is extremely prejudicial to dispose of important legal issues before the Party against which the rulings are made has an opportunity to brief the matter in full.⁸ It is especially fraught when the Presiding Officer issues those advisory rulings based on erroneous readings of cases not discussed in the Parties' briefs – errors that would have been corrected in advance had the Parties been allowed to address them *before* the errors were etched in type.

Respondents recognize that, technically, they may address these legal issues again in their brief on the merits. But it hardly comports with the FMC Rules, the Administrative Procedure Act, or the Due Process Clause to force a litigant to argue issues before an arbiter who has already made up her mind and indeed announced her decision to the public. Apart from other obvious problems, such an approach effectively reverses the burden of proof.

The holdings in the Order discussed above constitute impermissible advisory opinions. Before the Presiding Officer was Complainant's motion to strike three of Respondents' affirmative defenses. Respondents filed a response seeking to preserve their right to contest various legal bases underlying Complainant's purported causes of action under the Shipping Act. While the Presiding Officer recognized that those issues were premature and facially denied the motion to strike the three affirmative defenses, the Order nonetheless adjudicated the very legal issues that Respondents sought to preserve for later briefing. The legal issues were not before the Presiding Officer for adjudication and Respondents did not have a full-fledged opportunity to brief the issues decided in the Order. The Order even cited to a case that addressed *Twombly*'s plausibility standard

⁸ It may in some cases be useful for an ALJ to indicate their initial views on some legal issues, for example where they will help the parties reach an informed settlement. E.g., *IANVOCC v. Atlantic Container Line*, 25 S.R.R. 675, 679 (ALJ 1990). But the opposite is true here – Respondents cannot possibly reach any settlement while these advisory opinions remain extant.

for assessing the sufficiency of pleadings, noting that the standard is relaxed in the context of a challenge to affirmative defenses. See Ex. (1), Order, p. 4-5, quoting *GEOMC Co. v. Calmare Therapeutics Inc.*, 918 F.3d at 97–99 (footnotes omitted).⁹

Numerous courts have recognized in the context of other administrative agency decisions that administrative law judges do not have the authority to issue advisory opinions. See e.g., *Gomez v. Comm'r of Soc. Sec.*, No. CIV.A. 11-2960 KSH, 2012 WL 3240871, at *2 (D.N.J. Aug. 7, 2012) (“These directions, if followed, serve to prevent the ALJ from issuing an advisory opinion.”); *Z.H. v. Cinnaminson Twp. Bd. of Educ.*, No. 122CV01700NLHSAK, 2023 WL 4348551, at *7 (D.N.J. July 5, 2023) (“The ALJ’s factual determination as to whether a condition precedent had been satisfied which would have triggered additional payments by Cinnaminson amounted to an advisory opinion which, for its part, this Court may not issue. This Court will not compound the ALJ’s error by expressing an opinion about the scope and enforceability of an agreement over which it has no jurisdiction; *Hamilton v. Bromley*, 862 F.3d 329, 337 (3d Cir. 2017) (“Since we lack Article III jurisdiction over this case, we cannot resolve whether [] abstention is appropriate because a judicial decision rendered in the absence of a case or

⁹ The *GEOMC* Court said, in pertinent part:

The key aspect of the context relevant to the standard for pleading an affirmative defense is that an affirmative defense, rather than a complaint, is at issue. This is relevant to the degree of rigor appropriate for testing the pleading of an affirmative defense. The pleader of a complaint has the entire time of the relevant statute of limitations to gather facts necessary to satisfy the plausibility standard. By contrast, the pleader of an affirmative defense has only the 21-day interval to respond to an original complaint, *see* Fed. R. Civ. P. 12(a)(1)(A)(i), the 21-day interval to amend, without court permission, an answer that requires a responsive pleading, *see* Fed. R. Civ. P. 15(a)(1)(B), or the 14-day interval to file a required response to an amended pleading that makes a new claim, *see* Fed. R. Civ. P. 15(a)(3). That aspect of the context matters.

918 F.3d at 97–99.

controversy is advisory, and federal courts lack power to render advisory opinions.”) (internal quotation marks omitted); *Miller v. F.C.C.*, 66 F.3d 1140, 1146 (11th Cir. 1995)(“These Article III requirements apply with the same stringency in the administrative law context.”); *Flast v. Cohen*, 392 U.S. 83, 96, 88 S. Ct. 1942, 1950, 20 L. Ed. 2d 947 (1968)(“Thus, the implicit policies embodied in Article III, and not history alone, impose the rule against advisory opinions on federal courts.”); *Bethlehem Steel Corp. v. Kreps*, No. Y-78-837, 1980 WL 140, at *5–6 (D. Md. May 8, 1980) (“the rule against advisory opinions also recognizes that such suits often “are not pressed before the Court with that clear concreteness provided when a question emerges precisely framed and necessary for decision from a clash of adversary argument exploring every aspect of a multifaced situation embracing conflicting and demanding interests.”).

The holdings included in the Order discussed above were not necessary for decision, and certainly Respondents, in challenging Complainant’s motion to strike affirmative defenses under the relaxed *Twombly* plausibility standard, did not need to explore every aspect of the multifaceted situations presented in this case in their responsive brief. Because the Order’s extraneous holdings constitute impermissible advisory opinions, the Commission should strike those rulings.

2. The Presiding Officer’s Advisory Opinions are Substantively Incorrect

As we now show, the Presiding Officer’s advisory opinions are substantively incorrect and ignore critical FMC precedent, even though such precedent was cited and quoted at length in Respondents’ brief on the Motion to Dismiss.

a. Section 41102(c) of the Shipping Act Does Not Extend to Ocean Carrier Rates in Service Contracts

Respondents demonstrated in their Opposition Brief that, from at least 1939 to date, the Commission has consistently held that Section 41102(c) (as currently written and as similarly written in predecessor statutory provisions) does not apply to the “transportation function” of

ocean common carriers, but instead are limited to their terminal functions and forwarding activities. See Ex. (2), pp. 26-27. The Presiding Officer's holdings regarding rate regulation and regulation of vessel space under Section 40102(c) stem from the extraordinary conclusion that Section 40102(c) is not limited to port, shoreside and forwarding functions – an unprecedented holding. Indeed, by such reasoning, Section 40102(c) would not appear bounded by anything at all. Rather, if allowed to stand, the Presiding Officer's ruling would usher in a profound legal and policy shift, wherein the FMC would enjoy seemingly plenary authority to impose subjective “reasonableness” standards on *any* aspect of any carrier operations or dealings.

If the Presiding Officer's rulings are allowed to stand, they will generate the most seismic shift in shipping regulatory law at least since 1984, re-casting the FMC into an unprecedented role as public utility-style regulator of international-shipping rates and services – all without any action by Congress. The effects of such a sweeping policy change on global shipping and trade would be profound. For carriers, all investment and commercial commitments to the U.S. trades would be clouded by uncertainty, as the Commission and private litigants could contest the reasonableness of virtually any rates, commercial dealings, or operational decisions on opaque and subjective grounds. Even more troublingly, a pivot by the United States away from market-based pricing in liner shipping (of which the U.S. historically has been a staunch defender) into a system of subjective rate regulation would represent an extraordinary invitation for every maritime nation to follow in its wake, which ultimately would yield a global web of conflicts and inefficiencies.¹⁰

¹⁰ See e.g., Letter dated May 21, 1999 from Federal Maritime Commission to Henry J. Hyde, Chairman, Committee on the Judiciary, House of Representatives, as printed in Antitrust Aspects of the Ocean Shipping Reform Act of 1998: Hearing Before the Committee on the Judiciary, House of Representatives, One Hundred Sixth Congress, first session, May 5, 1999 (“International shipping has thus far been refreshingly free of governmental interference in individual carriers' pricing decisions; neither the U.S. nor foreign regulators ‘approve’ or ‘disapprove’ the rates charged by commercial shipping companies. One long-standing argument in favor of antitrust

FMC precedent clearly demonstrates that 40102(c) does not empower the Commission to regulate vessel space allocation or rates in the international trade. In *Time Limit on the Filing of Over Charge Claims*, 10 F.M.C. 1, 7 (1966), the Commission stated categorically that Section 17 of the Shipping Act 1916 (the predecessor to 46 U.S.C. 41102(c)), “relates only to practices relating to or connected with the receiving handling storing or delivering of property and its application has thus been confined to **forwarding and terminal** operations.” Likewise, *North River Insurance Co. v. Federal Commerce and Navigation Co., Ltd.*, 20 S.R.R. 1078, 1084 (ALJ 1981), states: “Respondent correctly points out that the paragraph relied upon by complainants has expressly been limited to the operations of **terminals and forwarders**.”

At the same time the Commission held that section 41102(c) applies to forwarders/forwarding activities, it also held that this section **does not** apply to the transportation function of VOCCs, and specifically not to their rates or space allocations. In *Bills of Lading - Incorporation of Freight Charges*, 3 U.S.M.C. 111, 113 (1949) (emphasis added), for example, the Commission emphasized that Section 17 “is confined to the receiving, handling, storing, or delivering of property to the **exclusion of transportation and rates, fares, and charges in connection therewith**.” Similarly, in *Beaumont Port Commission v. Seatrain*, 3 F.M.B. 556, 561 (1951), the Commission concluded that rates set through “respondent’s equalization practice is not

immunity is that limited industry self-regulation is preferable to regulation by diverse national authorities. If the United States is eventually successful in imposing its antitrust regime in ocean shipping and eliminating any self-regulating structure the industry has adopted, we will likely see an increased call for laws in individual countries to prohibit shipping rates from dropping to noncompensatory levels during times of slack capacity, or moving too high when space is tight. If governments become involved in pricing, the potential for both legal conflicts and economic inefficiencies will increase markedly.”).

a regulation or practice connected with the receiving handling storing or delivering of property within the meaning of Section 17(2) of the Act.” As it further explained:

The rates under the circular to be sure include charges for services at the receiving and at the delivering end of the voyage as is true generally of freight rates of water carriers. If we were to say that such incidental element in the rates gave us full jurisdiction to enforce reasonable rates for carriers in foreign commerce we should be disregarding the difference of our authority over such carrier under sections 16 and 17 of the Act from our jurisdiction over certain offshore carriers in interstate commerce where under section 18 of the Act as amended we are authorized to enforce reasonable rates.”

With respect to allocation of vessel space, the Commission expressly held in *D.I. Piazza Co. v. West Coast Line, Inc.*, 3 F.M.C. 608, 616 (1951), that 46 U.S.C. § 41102(c) did not apply to the vessel owner’s refusal to allocate to complainant all of the vessel space that complainant wanted, because allocation of space among “was not a practice connected with the handling, storing or delivering of property.” To like effect, see *Los Angeles By-Products Co. v. Barber S.S. Lines*, 2 U.S.M.C. 106, 113-14 (1939) (emphasis added), where the Commission explained that the predecessor to 46 U.S.C. § 41102(c), “relates to services performed at the terminal as distinguished from the carrying or transporting by the vessel.”

Although the Commission’s interpretation of 46 U.S.C. § 41102(c) as applying only to terminal and forwarding practices originated under the 1916 Act, Congress imported it untouched into the 1984 Act. This congruence was made explicit in *Definition of Package*, 23 S.R.R. 111, 114 (1985) (underlining in original; emphasis added), where the Commission stated:

“Section 17 of the 1916 Act and Section 10(d)(1) of the 1984 Act deal with ‘just and reasonable regulations and practices’ relating to the ‘receiving, handling, storing, or delivery of property . . .’ Sections 17 and 10(d)(1) do not empower the Commission to address unjust or unreasonable carrier activity that relates to the transportation of property. [Those provisions] address ***only activities that occur before or after the water transportation.***”

Likewise, in *ANERA and Its Members - Opting Out of Service Contracts*, 28 S.R.R. 1215, 1229 (FMC 1999), the Commission expressly declined to address an alleged violation of Section 10(d)(1), stating that the respondents had made a “forceful case that the practices at issue here – the service contract provisions stating **line haul rates** – do not come within that section's limitation to the functions of receiving, handling, storing, and delivering cargo.”

The Order declined to follow this long-time precedent, basing its rejection of all these decisions on a single D.C. Circuit decision about FMC regulation of freight forwarding, which had had nothing to do with common carrier rates or services at all:

Thus, although there may have originally been some question about whether section 41102(c) extended to rates, that question has been resolved by the D.C. Circuit, relying on Supreme Court precedent. Therefore, shipping rates may be considered part of receiving, handling, storing, or delivering property. (Order at 12).

This dictum by the Presiding Officer is unequivocally wrong, as neither the D.C. Circuit opinion nor the Supreme Court precedent stands, in any way, shape, or form, for the proposition that Section 41102(c) applies to the service contract rates of ocean common carriers.

As discussed above, the FMC long ago, and consistently since, has held that section 41102(c) applies to terminal **and forwarding** activities, but not to the **transportation** function. See, e.g., *Time Limit on the Filing of Over Charge Claims*, 10 F.M.C. 1, 7 (1966); *North River Insurance Co. v. Federal Commerce and Navigation Co., Ltd.*, 20 S.R.R. 1078, 1084 (ALJ 1981).

The Order bases its contrary conclusion on a single case, *National Customs Brokers & Forwarders Association of America., Inc. v. United States*, 883 F.2d 93, 98-99 (D.C. Cir. 1989). But that case, as its name suggests and the Order’s block quote confirms, says absolutely nothing about service contract rates of ocean common carriers. Indeed, the case was not about “rates” or “ocean common carriers” at all, but rather about “freight forwarders” and their “fees” (not rates). Thus, the block quote states that the dispute was over “fee arrangements for forwarding services

preliminary to an actual shipment.” As this quote demonstrates, the opinion was about: (i) “forwarding services” provided “preliminary to an actual shipment,” not about ocean transportation,¹¹ and (ii), fees assessed by forwarders for *landside* services, *not* rates for ocean transportation.

Nor does the D.C. Circuit’s reference to Supreme Court precedent alter matters. It, too, was specifically limited to freight forwarders, not common carriers. As the block quote states: “In *United States v. American Union Transport*, 327 U.S. 437 (1946) the Supreme Court recognized broad Commission authority to regulate *forwarders*.” And the quotation to the Supreme Court’s opinion in the *A.U.T.* case states: “By the nature of their business, *independent forwarders* are intimately connected with” the activities listed under section 17, that is, “the receiving, handling, storing or delivering of property.” As the Commission’s own regulations confirm, freight forwarders do not provide transportation, but rather ancillary administrative services. Thus, ocean freight forwarders are defined as follows:

Ocean freight forwarder (“OFF”) means a person that—

- (i) In the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and
- (ii) Processes the documentation or performs related activities incident to those shipments.”¹²

Further, the services that freight forwarders provide are described as follows:

Freight forwarding services refers to the dispatching of shipments on behalf of others, **in order to facilitate shipment by a common carrier**, which may include, but are not limited to, the following:

¹¹ As discussed above, the FMC has emphasized that the services covered by Section 41102(c) are those “that occur before or after the water transportation. *Definition of Package*, 23 S.R.R. 111, 114 (FMC 1985).

¹² See 46 CFR § 515.2(m)(1).

- (1) Ordering cargo to port;
- (2) Preparing and/or processing export documents, including the required 'electronic export information';
- (3) Booking, arranging for or confirming cargo space;
- (4) Preparing or processing delivery orders or dock receipts;
- (5) Preparing and/or processing common carrier bills of lading or other shipping documents;
- (6) Preparing or processing consular documents or arranging for their certification;
- (7) Arranging for warehouse storage;
- (8) Arranging for cargo insurance;
- (9) Assisting with clearing shipments in accordance with United States Government export regulations;
- (10) Preparing and/or sending advance notifications of shipments or other documents to banks, shippers, or consignees, as required;
- (11) Handling freight or other monies advanced by shippers, or remitting or advancing freight or other monies or credit in connection with the dispatching of shipments;
- (12) Coordinating the movement of shipments from origin to vessel; and
- (13) Giving expert advice to exporters concerning letters of credit, other documents, licenses or inspections, or on problems germane to the cargoes' dispatch.¹³

By contrast with OFFs, common carriers, whether VOCCs or NVOCCs, take responsibility for the shipment (e.g., for cargo loss or damages) and use a vessel operating between a port in the United States and a port in a foreign country to provide transportation. 46 U.S.C. § 40102(7).

The regulations make clear that what an OFF charges are fees for forwarding services, not rates for ocean transportation:

Freight forwarding fee means charges billed by an ocean freight forwarder to a shipper, consignee, seller, purchaser, or any agent thereof, for the performance of freight forwarding services.¹⁴

¹³ See 46 CFR § 515.2(h).

¹⁴ See 46 CFR § 515.2(g).

The fact that the D.C. Circuit did not address ocean freight rates is further confirmed by *ANERA and Its Members - Opting Out of Service Contracts*, 28 S.R.R. 1215, 1229 (FMC 1999), decided 10 years *after* *NCBFAA*, where the Commission said: “ANERA also states a forceful case that the practices at issue here – ***the service contract provisions stating line haul rates*** – do not come within that section’s limitation to the functions of receiving, handling, storing, and delivering cargo.”

More broadly, the Presiding Officer’s rulings fall gravely foul of the Supreme Court’s major-question doctrine, which the Court recently addressed in *West Virginia v. EPA*, 142 S.Ct. 2587 (2022). There, the Court explained that the doctrine “developed over a series of significant cases all addressing a particular and recurring problem: agencies asserting highly consequential power beyond what Congress could reasonably be understood to have granted.” *Id.*, 142 S.Ct. at 2609. The EPA in that case was doomed by “the Agency’s discovery [of a newfound power which] allowed it to adopt a regulatory program that Congress had conspicuously and repeatedly declined to enact itself”, *id.*, 142 S.Ct. at 2610, and the fact that the agency unilaterally effected a “fundamental revision of the statute, changing it from [one sort of] scheme of ... regulation’ into an entirely different kind.” *Id.*, 142 S.Ct. at 2596.

The Supreme Court’s explanation of the doctrine describes perfectly what has happened in this case. The FMC has statutorily and historically been restrained from regulating space allocation and rates in the international transportation of goods; however, the Presiding Officer’s rulings would now alter the scope of the agency’s regulatory powers and inject the agency into an expansive new role for which no statutory foundation exists.¹⁵

¹⁵ Even with respect to domestic non-contiguous trades, while the FMC retained rate regulation authority after the Shipping Act of 1984, Congress purposefully took that power away in 1995.

In sum, the Presiding Officer’s holding that § 41102(c) extends to shipping rates and cargo space allocation contravenes more than 80 years of Commission precedent, the FMC’s regulations, and the Supreme Court’s recently announced major-question doctrine, and so cannot stand.

b. The FMC Does Not Have Jurisdiction Over a Common Carrier’s Failure to Comply with a Service Contract

On pages 6-7, the Order concludes that the FMC has jurisdiction over claims under 46 U.S.C. § 41104(a)(2) that an ocean common carrier failed to comply with a service contract. The Order reaches this determination by eliding a major quotation from *ca* and omitting a discussion of cases interpreting *Cargo One*.

On page 6, the Order includes a lengthy quote from *Cargo One*. It omits, however, the critical statement in that case, quoted in Respondent’s Opposition. See Ex (2), p. 22. There, the Commission expressly held that claims under 46 U.S.C. § 41104(a)(2) (then Section 10(b)(2)) were “*substantially contract claims*,” and so must normally be dismissed, explaining that claims under § 41104(a)(2):

are premised on the obligation to meet one’s contract commitments and are therefore essentially breach of contract actions which Section 8(c) renders not properly before the Commission in the absence of evidence offered by the complainant . . . that some extraordinary aspects of the allegation distinguish it substantially from a contract claim.

This language, which the Order completely ignores, is clear and unmistakable – 46 U.S.C. § 40502(f) precludes the FMC from addressing claims under § 41104(a)(2), except in rare circumstances, where Complainant adduces evidence of “extraordinary aspects” of its case that “distinguish it substantially from a contract claim.” The Order does not claim, and Complainant made no attempt to show, that any such “extraordinary aspects” of this case require a deviation from the rule stated in *Cargo One*.

The Order also omits any discussion of prior cases reaffirming what the Commission said so plainly in *Cargo One* – that claims under § 41104(a)(2) must normally be dismissed at the outset for lack of jurisdiction. In the remand proceeding in *Cargo One*, the judge expressly dismissed all claims under § 41104(a)(2) (which order became final without Commission review), stating that “*it seems clear* that the Commission *intended* that the ALJ *dismiss* the complaint herein as to [46 U.S.C. 41104(a)(2)].” 29 S.R.R. 620, 621 (ALJ, Admin. Final 2002). And in *Global Link Logistics, Inc. v. Hapag-Lloyd AG*, 33 S.R.R. 512 (I.D. Granting Motion to Dismiss 2014), Judge Guthridge likewise cited *Cargo One* in dismissing § 41104(a)(2) claims that could be addressed as contract breaches, including: (i) that respondent failed to address the MQC shortfall; (ii) that respondent failed to observe certain terms of the contract; (iii) that actions by the respondent made it impossible for complainant to book cargo; and (iv) that the respondent failed to provide necessary administrative support. Judge Guthridge there explained that such claims could not be heard before the FMC, because they were all “inherently contract claims reserved for the arbitrator and are not within the Commission’s jurisdiction to decide.” *Id.* at 528.

The Order briefly discusses *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 998 (FMC 2006). But again, it simply ignores the most telling portion of the case, where the Commission directed the ALJ, on remand, not to address disputes based on contract, which were within the exclusive jurisdiction of the arbitrator.

The Order also fails to address the fact that its conclusion about jurisdiction is entirely inconsistent with the well-established rule that federal statutes should not be interpreted so as to render any provision meaningless. As the Commission explained in *California Shipping Line, Inc. v. Yang Ming Marine Transport Corp.*, 25 S.R.R. 1213, 1220 (FMC 1990): “Courts have made it clear that federal agencies *must give effect to every word* of a statute so that no part will be rendered

inoperative, superfluous, void or insignificant.” The Order does the precise opposite. Instead, it renders 46 U.S.C. § 40502(f) entirely meaningless.

The Order quotes, but does not address, the Commission statement in *Cargo One* that:

For [46 U.S.C. § 40502(f)] to have meaning, it must have been intended to preclude the filing of some complaints of Shipping Act violations, and not just breach of contract claims, as such claims would not be actionable before the Commission in any event.

Thus, the Order notwithstanding, *Cargo One* squarely recognizes: (i) that “some complaints of Shipping Act violations” must be precluded by § 40502(f), and (ii) that the category of claims precluded by 46 U.S.C. § 40502(f) expressly includes claims under 46 U.S.C. § 41104(a)(2), except perhaps in rare circumstances. The Order does violence to these statements in *Cargo One*, effectively holding that a service-contract claim may be outside the Commission’s jurisdiction if the Complainant foolishly calls it a breach of contract, rather than a Shipping Act violation, but that the FMC possesses jurisdiction if the Complainant pleads exactly the same facts but wisely replaces the term “breach of contract” with the term “violation of 46 U.S.C. § 41104(a)(2).”¹⁶

It cannot reasonably be argued that Congress labored over this provision only as a reminder about careful crafting of a complaint. And indeed, the legislative history confirms that it did not. Section 40502(f) originated in the Shipping Act of 1984. In 1998, it was reaffirmed in OSRA 1998,

¹⁶ Complainant, in its reply to the Motion to Dismiss, suggested that preventing private complainants from bringing breach of contract claims under the guise of 46 U.S.C. § 41104(a)(2), would write Section 41104(a)(2) out of the Shipping Act. That is obviously wrong. First, as the Commission specifically recognized in *Cargo One*, claims could still be brought under 46 U.S.C. § 41104(a)(2) in special cases, where there are extraordinary circumstances. Second, even if private complaints were entirely prohibited, 46 U.S.C. § 41104(a)(2) would be enforceable in BEIC enforcement proceedings. This is not an unfamiliar concept under the Shipping Act. For example, private parties may not file complaints for alleged violations of 46 U.S.C. § 41307(b)(1). See 46 U.S.C. § 41301(a). And only the government, not private parties, may bring antitrust claims against ocean carriers, under either federal or state law. *In re Vehicle Carrier Services Antitrust Litigation*, 846 F.3d 71, 79 (3d Cir. 2017).

where Congress emphasized that "[t]he bill would retain the 1984 Act provision providing that the exclusive remedy for a breach of a service contract is an appropriate court, not the FMC." S. Rep. 61, 105th Cong., 1st Sess., p. 23 (1997) (emphasis added). This section, by its plain language, specifically deprives the Commission of jurisdiction to hear claims in the nature of breach of contract claims, such as failure to provide service in accordance with a service contract.

The Order (at p. 12) also incorrectly refers to the *Interpretive Rule on Demurrage and Detention under the Shipping Act*, 85 Fed. Reg. 29638, 29644. That rule says nothing about review of rates for ocean transportation. **Detention and demurrage charges have nothing to do with rates for ocean transportation.** By definition, they are limited to events that take place either *before or after* the ocean transportation takes place – i.e., landside use of equipment. Further, the specific portion of the *Interpretive Rule* cited by the Order was a reference to the D.C. Circuit opinion in *NCBFAA*, which Respondents have already shown was about forwarders and fees for forwarding services, not rates for ocean transportation. Indeed, the Commission has repeatedly explained, even after the D.C. Circuit decision, that it has no authority over the rates that common carriers charge for ocean transportation in U.S. foreign commerce.¹⁷ In *Notice of Inquiry Concerning Use and Effect of Surcharges by Common Carriers and Conferences*, 26 S.R.R. 108, 119 (1992), for example, the FMC expressly acknowledged that “the Commission **does not** have statutory authority to regulate the level of rates charged, nor does the 1984 Act prohibit carriers from seeking to earn profits.” It also recognized that, under the 1984 Act, “rate regulation is not an authorized function.” *Id.* at 121. See also, *FMC Study on OSRA 1998*, https://www.fmc.gov/wp-content/uploads/2019/04/OSRA_Study.pdf. Likewise, in *Regulation of*

¹⁷ Compare, the FMC’s authority to determine whether the rates of controlled carriers (ocean common carriers owned or controlled by foreign governments) are below a just and reasonable level and prohibit unreasonably low rates. 46 U.S.C. § 40701; 46 C.F.R. Part 565.

Military Rates Under the Shipping Act of 1984, 1992 FMC LEXIS 96, the Commission asked interested parties to address, *inter alia*, the following question:

Given that past proceedings have focused on the level of military rates and that the Commission no ***longer has any authority to regulate the level of rates in the foreign trades***, is there any valid regulatory purpose in subjecting military to any or all of the requirements of the 1984 Act.

It may also be useful to briefly trace the history of the Commission's authority over the reasonableness of rates – how it first gained such authority under the 1916 Act and how Congress deliberately removed such authority in the 1984 Act.

Under the 1916 Act, the FMC possessed two ways by which it might address rates under specified circumstances. First, the 1916 Act authorized the Commission to "disapprove any rate or charge filed by a common carrier ...which ... it [found] to be so unreasonably high or low as to be detrimental to the commerce of the United States." Former section 18(b)(5), Shipping Act, 1916.

Second, Section 17 of the Shipping Act, 1916 included not just the provision that became Section 10(d)(1) of the Shipping Act of 1984 (now codified at 46 U.S.C. § 41102(c)), but also a provision granting the FMC authority to regulate in certain respects discriminatory rates:

No common carrier by water in foreign commerce shall demand, charge, or collect any rate, fare, or charge which is unjustly discriminatory between shippers or ports, or unjustly prejudicial to exporters of the United States as compared with their foreign competitors. Whenever the commission finds that any such rate, fare, or charge is demanded, charged, or collected it may alter the same to the extent necessary to correct such unjust discrimination or prejudice and make an order that the carrier shall discontinue demanding, charging, or collecting any such unjustly discriminatory or prejudicial rate, fare, or charge.

As noted by the Supreme Court, this now-defunct portion of Section 17 prohibited "any charge or rate unjustly discriminatory between shippers or ports, etc., and gives the board authority to alter the same to the extent necessary to correct the discrimination or prejudice, and to order the carrier to discontinue." *United States Navigation Co. v. Cunard S.S. Co.*, 284 U.S. 474, 484 (1932).

The Commission's authority over ocean freight rates was removed *in toto* by Congress when it enacted the Shipping Act of 1984, which repealed both Section 18(b)(5) and the above-quoted portion of Section 17. See Shipping Act of 1984, Pub. L. No. 98-237, 98 Stat. 89, Sec. 20(a), 20(b)(8) (Mar. 20, 1984). As the FMC summarized in *Elinel Corporation v. Sea-Land Service, Inc.*, 26 S.R.R. 1220 (ALJ), adopted, 26 S.R.R. 1399 (FMC 1994), "the Commission has no reasonable rate authority under the Shipping Act of 1984, unlike the 1916 Act." On exceptions, the Commission specifically reaffirmed this statement, saying:

Although the Commission continues to have jurisdiction under the Shipping Act, 1916, 46 U.S.C. app. § 817, and the Intercoastal Shipping Act, 1933, 46 U.S.C. app. §§ 843-848, to determine the reasonableness of rates in the domestic offshore trades, ***no such authority exists with respect to the U.S. foreign commerce***, which is regulated under the 1984 Act.

Elinel Corporation v. Sea-Land Service, Inc., 26 S.R.R. 1399, 1994 WL 279882, at *4 (FMC Jun. 10, 1994); see also 1974 U.S.C.C.A.N. 6027, 6028 ("The Shipping Act, 1916, and the Intercoastal Shipping Act, 1933, authorize the Federal Maritime Commission to exercise economic regulation over the rates and practices of common carriers by water in the domestic offshore trades of the United States, i.e., the trades between the continental United States and Alaska, Hawaii, Puerto Rico, Guam, American Samoa or the U.S. Virgin Islands.").

FMC Chairman Daniel Maffei himself testified regarding the limitations of the FMC's authority in an exchange with Senate Commerce Committee Chair Maria Cantwell at a recent Senate hearing on the Ocean Shipping Reform Act of 2022:

Maffei: Yeah, under current law, well, under current law, *a rate, no matter how high in itself is not unreasonable*. It would be how that rate was arrived on, it's an alliance, how they got to that rate.

Cantwell: It's not about alliances, it was found in so many aspects of manipulation of oil and natural gas when we set new laws, because it wasn't about collusion. It wasn't about somebody coming together and setting a price. It's about whether you have a market condition that basically serves the customer, and you have small customers here who are not getting served is the issue. And they can't get their

products out of our ports, importers can't get their products out, because they can make more money being exporters to the United States than bringing our product back to Asia.

Maffei: There's no doubt that your observations are well taken. And your points are right. This bill, the last bill was written in 1986 [sic], 36 years ago. We didn't have mobile phones. I mean, the industry has changed so much. That's why it's so important that we update it. *Now we don't have the authority to regulate rates. We don't have the authority to say that rates [are] too high. We don't have the authority to say you have to pay some attention to small businesses. You can't just pay attention to the big box stores. We don't have that authority.* I wish you know, sometimes I wish we did. And if you give it to me, I will use whatever authorities that the Congress sees fit to give us.

Senate Commerce Committee, Hearing on the Ocean Shipping Reform Act of 2022 (March 3, 2022) (emphasis added), [03032022 Oceans Shipping Act Transcript.pdf \(senate.gov\)](#). While the agency may at times wish for sweeping authority to prescribe carrier rates, only Congress is empowered to grant such wishes. It has not done so.

CONCLUSION

For the reasons addressed above, Respondents respectfully requests that the Commission reverse in part the Presiding Officer's Order of September 28, 2023, to vacate the erroneous holdings included therein as discussed above and grant such other relief as may be just and appropriate.

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Respectfully submitted,



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